1. Company Overview

Halvorsen Marine Systems was founded in 1987 and is headquartered in Duluth, Minnesota. The company designs and manufactures marine navigation electronics, propulsion components, and aftermarket maintenance services for commercial and research vessels.

At the end of fiscal year 2025 the company employed 2,140 people across six facilities in North America and Europe. Marta Ilves has served as Chief Executive Officer since 2019.

The business is organized into three divisions: Navigation, Propulsion, and Services. Each division reports separately to the executive committee, and shared functions such as procurement and finance are managed centrally.

2. Financial Performance

Total revenue for fiscal year 2025 was $812 million, an increase of 4.2% from $779 million in fiscal year 2024. Operating income was $97 million and net income was $61 million.

Capital expenditure totaled $44 million, mostly for machining equipment at the Duluth plant and a new testing facility. The company ended the year with $128 million in cash and no short-term debt.

Management attributes the revenue increase mainly to strong demand for integrated navigation systems and to continued growth in recurring maintenance contracts.

3. Division Results

Navigation division revenue was $301 million, up 9% from the prior year, driven by orders from offshore wind support fleets.

Propulsion division revenue was $356 million, down 3% from the prior year. This was the only division to report lower revenue, reflecting delays in component deliveries and a slowdown in new vessel construction.

Services division revenue was $155 million, up 14%, the fastest growth among the three divisions, supported by multi-year maintenance agreements.

4. Workforce

Employee attrition fell to 11.8% in fiscal year 2025 from 14.2% the year before. Exit interviews most often cited relocation and commuting distance rather than compensation.

The company hired 310 new employees during the year and spent $5.2 million on training. In September it launched an apprenticeship program for machinists and electronics technicians, which enrolled 48 apprentices in its first cohort.

Average tenure across the workforce is 7.3 years. The company expects attrition to decline further as hybrid scheduling is extended to engineering roles.

5. Risk Factors

Supplier concentration: titanium propeller shafts are bought from a single supplier, Kestrel Alloys, which accounts for 38% of Propulsion division input costs. Qualification of a second source is expected to take at least 18 months.

Currency exposure: about 22% of revenue is denominated in euros, so a stronger dollar reduces reported revenue and margins.

Information systems: in March a phishing incident compromised 14 employee workstations. Investigators found no evidence that customer data was accessed, and all affected devices were rebuilt within 48 hours.

6. Outlook

For fiscal year 2026 the company expects revenue between $850 million and $870 million. The company plans to open a service center in Rotterdam, the Netherlands, in the third quarter of 2026 to support European customers.

The board declared an annual dividend of $0.42 per share. The company has committed to cut greenhouse gas emissions by 30% by 2030, measured against a 2022 baseline.

Management will report progress against these targets in the fiscal year 2026 annual report.